

Outlook

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Follow-up: test the mule hypothesis without labelling the customer

Hi,

This came up in a working session and nobody had the same definition.

Financial Crime wants to test whether rapid receipt and onward movement forms a network pattern or reflects ordinary customer behaviour.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: shared beneficiaries connect otherwise separate customers; salary, family support or business cash flow explains the pattern; or new accounts act as pass-through accounts.

The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2022 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is which cases deserve investigation and which monitoring rule needs a better peer group. Please bring a working Excel file with the exception population and clear columns, including a few cases we can trace from source to conclusion.

The available evidence is transaction-level timestamps, channels, amounts, statuses and error context; monthly account snapshots, status events, limits, product enrolments and signatories; monthly customer and KYC snapshots; debit-order mandates, collection dates, suspensions and cancellations. The output is a triage hypothesis. Do not label a customer a mule without investigation and external evidence.

Thank you